

Focus on Failures

[Figure 38.3](#) shows a classic example of a bullish Gartley failure. The Gartley is at XABCD, with volume trending downward, G.

After turn D, the stock is supposed to rise. It does, but only to E in this case. If you bought long at the open on that day with a stop a penny or two below D, you'd have been stopped out when price stumbled on the way to F.

Looking at this pattern from X to F, notice that F bottoms near the price of X. I call X the launch price, and you sometimes see a reversal pattern that sends the stock back down like the one shown here. The stock will bottom near the price of X, often slightly higher than X. It doesn't happen that often, but such behavior (not just for Gartleys, but for all chart pattern types) can help you determine how far price might drop. It also might give you a buying opportunity when the stock turns upward at F.

Notice the inverted-roof-type pattern from May to October (and even a diamond bottom hiding in the middle of it, as shown). When I see a breakdown from this type of horizontal top and a bullish pattern emerges afterward, just as the Gartley does here, I know it's a disaster waiting to spring on the bulls. The pattern invariably fails and down price goes. Learn from this example and don't go long after the breakdown from a horizontal topping pattern.

Statistics

[Table 38.2](#) shows general statistics for the bullish Gartley.

Number found. Gartleys were plentiful, especially in bull markets. The bear markets, two of them, were shorter than the bull markets, so you'd expect to see fewer patterns. However, and this was a quick calculation, more Gartleys appear in bear markets than in bull markets when adjusted for the time involved.

Breakeven failure rate. I counted the number of times a bullish Gartley saw price rise less than or equal to 5% on the way to the ultimate high.

It's odd that bear markets have lower failure rates than bull markets. Bull markets see price climb, helped along by the general market. Bear markets